NATIONAL ASSEMBLY 7TH PARLIAMENT

PARLIAMENTARY STANDING COMMITTEE ON ECONOMICS AND PUBLIC ADMINISTRATION

REPORT OF THE OVERSIGHT VISITS ON CAPITAL PROJECTS EARMARKED IN THE DEVELOPMENT BUDGET FOR VOTE 19 (MINISTRY OF INDUSTRIALISATION AND TRADE VOTE 23 (DEPARTMENT OF WORKS) AND VOTE 24 (DEPARTMENT OF TRANSPORT) IN THE MTEF 2021/22 TO 2023/24

KUNENE, OMUSATI, OSHANA, OHANGWENA AND OSHIKOTO, ZAMBEZI, KAVANGO EAST AND WEST AND OTJOZONDJUPA REGIONS

REPORT NO. 4 OF 2025

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LIST OF ABBREVIATION

OMAs	Offices, Ministries, Agencies
SOEs	State Owned Enterprises
MWT	Ministry of Works and Transport
NPC	National Planning Commission
MIT	Ministry of Industrialisation and Trade
NIDA	Namibia Industrialisation Development Agency
GRN	Government of the Republic of Namibia
NATIS	National Traffic Information System
RFA	Road Fund Assistance
NCA's	Northern Communal Areas
MTEF	Medium Term Expenditure Framework
SORA	State of Regional Address (SORA)
RDCC	Regional Development Coordinating Committee
RC	Regional Council

1. EXECUTIVE SUMMARY

The Parliamentary Standing Committee on Economics and Public Administration resolved to conduct oversight visits to capital projects in Kunene, Omusati, Oshana, Ohangwena, Oshikoto, Zambezi, Kavango East, Kavango West and Otjozondjupa regions from 22 July to 2 August 2024. The visits focussed on capital projects on Vote 19: Ministry of Industrialisation and Trade; Vote 23: Department of Works and Vote 24: Department of Transport budgeted in the Development Budget for the MTEF 2021/22 to 2023/2024.

The main objective of the visits was for the Committee to assess progress made in executing capital projects.

The reports outlines consultations with regional leadership, regional officials and the Committee as well as physical onsite visits conducted by the committee.

The findings and observations in the report mainly focus on the following:

- Some projects have been implemented satisfactorily while others were not effectively implemented, operationalized and occupied.
- The oversight visits created awareness at regional level on development budget approved by Parliament as some regional leadership and officials were not aware of budgeted projects
- The development budget description of projects as "nationwide" or nationwide budgeting of projects hamper service delivery and resulting in some regions to lagging behind with project execution and delivery.
- Virement or diversion of funds and projects to projects in other regions without consultation and approval of regional councils and chief regional officers as observed with some projects, is inimical to project execution and delivery.
- The execution of capital projects is not decentralized.
- Lack of coordination, proper planning and broader consultation on capital projects with regional officials.
- The state of affairs at Ondangwa Northern Tannery which was meant to create business and employment opportunities in the Northern Communal Areas (NCA) has been unoccupied for the past 10 years, is of grave concern.
- Vehicle and driver testing facilities in some regions were not upgraded nor constructed.
- Inadequate funding hampering implementation and finalization of projects in some regions.
- Some projects are being put on hold by OMAs without the consent of the NPC and consultation with the management of regional councils.
- Lack of site visits to monitor the implementation of capital projects by OMAs.
- Administration of NIDA in terms of the management of Industrial Parks in the regions continues to be a concern.
- Government Garage functions not decentralized
- Slow pace of maintenance of infrastructure in the regions observed is adversely affecting development.
- Appointment of the same main contractors (companies) to execute projects concurrently in different regions is detrimental to smooth take off and execution of projects in some regions.

2. INTRODUCTION AND BACKGROUND

The Standing Committee on Economics and Public Administration has the constitutional mandate to exercise parliamentary oversight on activities and programmes of Offices, Ministries, Agencies(OMAs) and State-Owned Enterprises (SoEs), including the Ministry of Works and Transport (MWT), Ministry of Industrialization and Trade (MIT) and the National Planning Commission (NPC). The Committee is also entrusted with promoting infrastructure development and economic planning to achieve the vision of a prosperous and industrialized Namibia.

Recognizing the need for continuous infrastructure development in the country and the need to provide services to the citizens to improve their living standards, the Committee undertook onsite-inspections of capital projects of the Ministry of Works and Transport (Votes 23 and 24) and Ministry of Industrialization and Trade (Vote 19) as identified and approved by Parliament in the Development Budget. The visits were conducted in Kunene, Omusati, Oshana, Ohangwena and Oshikoto, Zambezi, Kavango East and West and Otjozondjupa Regions.

The main objective of the visits was to conduct oversight through evaluation and assessment on the level of execution of capital projects, to verify whether the government's capital projects have been implemented, whether there is desired impact and to obtain an update on the maintenance plan for existing buildings and road infrastructure in the regions. The visits focused on the implementation of capital projects earmarked in the Development Budget for the Medium Term Expenditure Framework (MTEF) 2021/2022 to 2023/2024.

The report highlights the findings and recommendations of the oversight visits.

3. COMPOSITION OF THE DELEGATION

The visit comprised of the following Members of Parliament: Group 1: Hon Hilaria Mukapuli, Leader of the Delegation, Hon Bertha Dinyando, Hon Maria Kamutali, Hon Sebastiaan Karupu, Hon Dr. Daniel Kashikola. Group 2: Hon. Elifas Dingara, Hon. Johanna Kandjimi, Hon. Kennedy Shekupakela and Hon. Jennifer van den Heever.

Members of the Committee were accompanied by the following officials:

- Mr. Willem H. Isaak, (Deputy Director: Committee Services), Ms Agnes Mukono (Chief Parliamentary Clerk) and Ms. Theresia Dimba (Parliamentary Clerk)
- Ms. Cathleen /Howoses (Development Planner, MIT)
- Mr. Manongwa Sikanda (Deputy Chief: National Development Advice, (Director), responsible for the Regional, Sectoral Planning & Policy Coordination at NPC
- Ms. Leena Sindano, a National Development Advisor and sector advisor from NPC, for the three Votes (19,23,24)
- Mr. Mulife Tawana (Engineer) from Ministry of Works and Transport.

4. METHODOLOGY

The following approaches were adopted to make the oversight visit, comprehensive and effective coverage:

1. Public notice was posted on the Parliament website and social media platform in advance to of meetings to inform stakeholders with relevant information to furnish with

relevant evidence and documentation to assist the Committee make meaningful decisions.

2. Preliminary briefing by technocrats from the twoMinistries and NPC and where relevant by the RoadsAuthority.
3. Briefing and deliberation with Regional Leaders and officials from the respective regional councils.
4. Onsite visits of most projects from the respective votes
5. Synthesis of observations and findings.

5. PURPOSE OF THE REPORT

The purpose of the report is to inform the National Assembly about the outcome of the oversight visits in terms of findings, recommendations as well as to discuss, consider and adopt the report.

6. THE MAIN AIM AND OVERALL OBJECTIVE OF THE OVERSIGHT VISITS WERE AS FOLLOWS:

(a) To evaluate and assess the level of execution of capital projects in the regions.

(b) To scrutinize whether the government's policies, programmes and projects have been implemented and whether they are having the desired impact.

(c) To get an update on the maintenance plan for existing buildings in the regions.

7. FINDINGS, OBSERVATIONS AND DISCUSSION

7.1. KUNENE REGION

7.1.1. Opuwo Capital Project Summary

Institution	Project Name		NPC Code	METF (Project Period)	Update on status of Project
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Sites and Premises Industrial Estates (Opuwo Industrial Park)		633	2021/22 - 2023/24	**Construction of the park has been completed and was handed over to NIDA in April 2024.**

					The park consists of eight (8) stalls (250m2), two (2) big stalls (380m2) with the rental fee of N$ 11 490.00 and six (6) small stalls at a rental fee of N$ 7815.00. **The park is still unoccupied due to non-affordability of rental fees.**
Ministry of Works and Transport **(Vote 23)**	Photo-Voltaic and Electrical Installation		325	2021/22 - 2023/24	The project was not implemented.
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations		320	2021/22 - 2023/24	One (1) GRN house for was renovated and fenced off in Opuwo. Two staff houses were renovated in Sesfontein, electrification and minor civil work was also done.
Ministry of Works and Transport **(Vote 23)**	Rehabilitation, Upgrading and Re-construction of Oxidation Ponds of Sewer System		1217	2021/22 - 2023/24	The Anigab Pond project was implemented but the Ehomba project is still to be executed.
Ministry of Works and Transport **(Vote 24)**	Construction of Swakopmund-Henties Bay-Kamanjab Link (412)		18647	2021/22 - 2023/24	The project is still ongoing, although the project was planned to run concurrently, only the Erongo segment is being implemented.

Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads		20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. For the period under review, no activities was carried out.
Ministry of Works and Transport **(Vote 24)**	Construction, Rehabilitation and Upgrading of Government Garages Nation-Wide		18551	2021/22 - 2023/24	Fencing of the new GRN Government Garage has been concluded and construction is expected to start soon. There is a budget allocation of 15 Million Namibia dollars for the year 2024/25 FY.
Ministry of Works and Transport **(Vote 24)**	Construction of Opuwo Aerodrome		18739	2021/22 - 2023/24	Still work in progress.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities		4197	2021/22 - 2023/24	The project was not implemented and has been suspended. The Ministry is concentrating on the Hosea Kutako International Airport and Walvis Bay Airport project, which are international airports. There is budget allocation in the 2024/25 FY for Windhoek and Walvis Bay only. Since the scope is not stated

					you may have to give reason the component suspended

7.1.2. Committee Observations/Findings

Construction of Opuwo Industrial Park, Project Code NPC 633

Although the project has been completed the contractor was not paid the retention fee due to non-compliance with some electricity and water supply issues at the entire industrial park as required by municipal regulations, hence there is dispute between Opuwo Town Council and the main contractor.

Since the project was completed, it was never occupied by tenants due to the high rental fees that range from N$ 7,815.00 for smaller stalls and N$ 11,490.00 per month for the bigger stalls. Applications for rental was still pending at the time of the Committee's visit. Efforts are being made by MIT to recommend the reduction of rental fees.

Proposals were made to partition the units.

The conditions at the regional office the Ministry of Industrialization and Trade was another matter of great concern to the Committee. The working environment is not conducive for the staff, the office is just too small and dusty. The ablution facilities have not been functional for the past 10 years, despite numerous complaints and requests from the regional staff. The office lacks maintenance. A reception desk was installed by one of the staff at own cost.

NPC Code 18739 – Construction of of Opuwo Aerodrome

The proposed Opuwo Aerodrome site is located nearby Opuwo, approximately 5km east of the Alpha Village and 4km from the bitumen surfaced Main Road between Omakange to the east and Opuwo to the west.

The feasibility report by the Ministry of Environment, Forestry and Tourism has highlighted the structures and infrastructure that will be constructed as part of the proposed Aerodrome. The proposed project included the construction of the following structures and infrastructure: Guard house with ablution facilities, water and electricity; Gravel access road; Covered veranda and rest rooms for the passengers and crew; Fuel storage and handling facility; Water, electricity and telecommunications; Drainage structures; Fencing; Runway marking

and signage; and Road signs. The existing aerodrome will be decommissioned and the land on which it is located will be handed over to the local authority subsequent to its rehabilitation.[1]

The delegation found that the long overdue construction of the Category C Opuwo Aerodrome dating back from 2012 is still work in progress. The current access road to the site is basically a "twee-spoor" track which is not up to standard and there is no access control. Construction of an access road, guardhouse with ablution facilities are expected to commence in the 2025.

The local community of Alpha village living in the surrounding area requested Ministry of Works and Transport that they benefit through the project by way of electrification of the area. The committee was informed that the regional council should request the Ministry of Mines and Energy for rural electrification of the area.

Although not part of the oversight visit, the committee was informed that the fence of Khorixas aerodrome/airstrip was off.

NPC Code 18551: Construction, rehabilitation an upgrading of Government Garages nationwide

Fencing of the new Government Garage has been completed and the construction of a new government garage is expected to start soon.

NPC Code 18647: Construction of Swakopmund – Henties Bay – Kamanjab [road] link (412 km)

The objective is to upgrade the road stretching from Swakopmund to Henties Bay to Kamanjab to bitumen standard. This road will be the shortest route between the north and north-western regions of Namibia and Swakopmund; and Walvis Bay.
It is an ongoing project.

The chief executive officer of Kunene Regional Council empathized the urgent need to expedite the construction, upgrading to bitumen standard and completion of the road as this would greatly benefit the communities of Kunene region.

General observations and comments

The Committee was informed that it is complicated when capital projects are described as "nationwide'" The projects listed by the Committee was news to some of the officials. It was

[1] https://eia.meft.gov.na/web/projects/2062

their view that what was budgeted and approved by Parliament, is not always what is happening on the ground.

National Planning Commission representative informed the committee that the development budget is determined and prepared based on the needs from the O/M/As and a circular is transmitted every year to the O/M/As. It is during this time that CDCs and RDCs should meet and identify the needs of the constituencies and the regions.

NPC is aware of the gaps between it and the regional councils and regional offices.
The accompanying official from NPC advised regional officials to submit their development and capital project needs to the line Ministries and to copy in the NPC.

Concerns were raised regarding the alleged virement or diversion of capital project funds from one region to another region, without consultation and approval of the region for which the funds were budgeted and approved; Hence, a proposal was made that virementing of capital projects should be signed off by the chief regional officer.

In line with the bottom-up approach of the National Planning Commission, proposals were made to strengthen and reorganise the involvement of chief regional officers, regional heads and senior government officials from regions during the Project Identification stages.

The committee is looking forward to the completion of all the capital projects identified for these projects.

7.2. OMUSATI REGION

7.2.1. Outapi Capital Project Summary

Institution	**Project Name**	**NPC Code**	**METF (Project Period)**	**Update on status of Project**
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Sites and Premises Industrial Estates (Outapi Industrial Park)	633	2021/22 - 2023/24	The project is 100% completed and operational. The Park is in need of a regular maintenance schedule.

Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Garment Factories	18344	2021/22 - 2023/24	Construction of a garment factory in Outapi as earmarked in the Development budget was not executed. The Committee was informed that the Ministry plans to construct the next Garment factory at Oshikuku Business Park for 2025/2026 FY
Ministry of Industrialisation and Trade **(Vote 19)**	Special Industrialisation Programme	18806	2021/22 - 2023/24	The project has not been implemented yet. The Committee was informed that the Ministry plans to construct a centre in Ruacana.
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	A store room and shade parking for Okahao sub-office was constructed.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	Outapi does not have a Meteorological Services Facility. Project was not implemented and has been suspended.
Ministry of Works and Transport **(Vote 24)**	Construction of Access Roads to schools and clinics	18779	2021/22 - 2023/24	- The following access roads were constructed, - No. D4129, M 129 Omafo to Outapi, Oshatotwa Combined School in Okalong, 4.6 KM - No. D4133, M 129 Omafo to Outapi, Onembaba Combined School, Okalongo, 3.2 KM - No. D36697, M 129 Omafo to Outapi, Epoko Combined School, Okalongo, 3.6 KM - No. D4133, M 129 Omafo to Outapi, Ondobeyohumba Combined School, Okalongo, 404 KM.

Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. For the period under review no activity was carried out.

7.2.2. Committee Observations/Findings

Members found that for the period under review, three (3) projects were budgeted for implementation under the Ministry of Industrialisation and Trade (Vote 19). However, only one (1) project NPC Code 633 (Completion of Outapi Industrial Park) was completed 100%, the remaining two (2) projects; NPC Code 18344: Construction of Garment Factories and NPC Code 18806: Special Industrialisation Programme at Outapi were not implemented.

The Committee found a small outlet owned by MIT and NIDA; and operated by a progressive SME entity under the name of Nande's Trading CC manufacturing school uniforms and tracksuits. Twenty (20) employees are working there and during peak times January to March more casuals are employed. They also design overalls and upholstery and plans to embark on additional work such as blazers and tailoring when there is better infrastructure and resources. The business is going well but the challenge experienced by the entity is that the space is very small and the embroidery machine is broken. The owner asked for MIT's and the Committee's assistance in this regard.

Under Votes 23 and 24 of the Ministry of Works and Transport, four (4) projects were budgeted for implementation. Two (2) projects were implemented, one (1) project was suspended and one (1) project was not implemented.

During the stakeholder meeting, the Committee was informed that various Ministries implement projects in the region without the involvement of the regional office of the Ministry of Works and Transport, resulting in projects being handed over to the Ministry of Works and Transport only after completion of projects. The regional office of the Department of Works is crucial because it is responsible for the maintenance of all government capital projects including maintenance work at offices, ministries and agencies in the country.

Other observations

Although not part of the Committee's oversight, Officials complained about the non-completion of the fenced off soccer stadium at Outapi which is a capital of the Ministry of Sport, Youth and National Service. The lack of sporting facilities in the region for the past 34 years since independence is a setback considering that the region is capable of yielding good sports men

and women, hence the lack of sport facilities in the region is hampering the development of sports in the region.

Officials also requested the Committee for assistance in addressing the issues of shortage of water in the region and proposed the installation of boreholes and permanent canals in the region.

The committee also visited the land earmarked for the construction of the Outapi Correctional Services under the Ministry of Home Affairs, Immigration, Safety and Security and found that the project has been put on hold because the land allocated is situated in flooding area and the fence has since been removed. This project is matter of serious concern that requires further investigation.

The committee is looking forward to the completion of all the capital projects identified for these projects.

7.3. OSHANA REGION

7.3.1 Oshakati Capital Project Summary

Institution	**Project Name**	**NPC Code**	**METF (Project Period)**	**Update on status of Project**
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Garment Factories	18344	2021/22 - 2023/24	Only the land for the construction of Garment factory was purchased.
Ministry of Industrialisation and Trade **(Vote 19)**	Agro- processing development (Ondangwa Northern Tannery)	18345	2021/22 - 2023/24	The following work was done; extension of the tannery, construction of pond, the floor was repaired, new machinery was purchased. The tannery is unoccupied for the past 10 years.
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	Renovations were done at the Ondangwa Regional Offices. Shading area for the vehicles was constructed. The project was completed in June 2024.

Ministry of Works and Transport **(Vote 23)**	Renovation of Government Stores	18635	2021/22 - 2023/24	The Ondangwa Government Store burn down five years ago. Only the ablution facilities and a small office was renovated in 2021/2022 FY. The store room for the stationery has big cracks on the walls. A Bill of quantity requesting for renovations was submitted to the head office but renovation has not taken place. There is lack of shelves in the Government Store, as a result some of the items such as toilet paper are being eaten by termites.
Ministry of Works and Transport **(Vote 24)**	Northern Railway Line Extension	1072	2021/22 - 2023/24	The 30 km rail line project has been put on hold. The Ministry is prioritising the Tsumeb, Grootfontein, Walvisbay Windhoek, Hosea Kutako and Gobabis projects.
Ministry of Works and Transport **(Vote 24)**	Upgrading of Vehicles and Driver Testing Stations	2836	2021/22 - 2023/24	The land was allocated in 2013 by the Town council for the expansion of the stations. However, the expansion was not carried out. Oshakati is the only town in Oshana region with a Vehicle and Drivers Testing centre. The office space cannot cater the volume of people in the region. The roller machine can only accommodate 12 vehicles per day and only 60 vehicles are tested per day. Although there are enough examiners at the station, the facility does not allow for more testing of vehicles. The request to extend the

				stations is being rejected. Roads Authority has been instructed to upgrade the station with their own revenue. NATIS office at Oshakati was declared unfit for employees to operate in. RFA is requesting that the land be registered in RFA name before construction can commence. .
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	The project was not implemented and has been suspended. Project has since been earmarked for Hosea Kutako and Walvis Bay International Airports
Ministry of Works and Transport **(Vote 24)**	Completion of MR120: Okatana-Endola-Onunho Road (36 KM)	20067	2021/22 - 2023/24	The project commenced in 2012 and was supposed to be completed in 2014, however, it was only 100% completed on 30 October 2018. The delay was due to non-payment.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. The following activities were carried out, cleaning of rest place along the roads, gravel routine maintance, repainting of road signs and potholes.

7.3.2 Committee Observations/Findings

Members were informed by the regional leadership that there are some capital projects not executed so far. The Ondangwa Industrial Park is not well managed by NIDA. There are two water supply projects of the Ministry of Agriculture, Water and Land Reform in Oshana region, the area of Amutanga. Other capital projects that need to be implemented are: a sports complex in the region and the Etaka dam providing water to Okadiva. The northern railway

line has come to a standstill and no meteorological service centre or facility has been constructed.

NPC Code 18345: Agro Processing Development

The Ondangwa Northern Tannery in Namibia established in 2001, under the management of MIT and NIDA can process 300 raw hides per day, but designed to expand to 600–1200 hides per day.

The Committee observed with grave concern and disappointment that the Ondangwa Northern Tannery project which was meant to create business and employment opportunity in the Northern Communal Areas (NCAs) has not been operational and unoccupied for the past ten (10) years, although the tannery was extended and upgraded with new machinery.

Members were informed that several investors have approached the regional leadership, who visited Namibia at least six (6) times requesting to lease the tannery with progressive plans However there seems to be resistance from the Ministry of Industrial and Trade and NIDA. Ondangwa Tannery did not kick off as expected.

The findings of the committee during the physical onsite visit to the Northern Tannery were as follows:

a) The oxidation pond is located about 7 km from the tannery. The pond sewerage pipe/s, booster pump/s, fence been vandalised. Items such as the plastic linings to protect waste water contaminating underground water were also vandalised and lids on manholes havebeen removed. Livestock were seen consuming the sewerage water which may cause serious environmental and animal health risks. Vandalism of the oxidation pond is estimated at N$11 million.
b) Cow hides were lying around without being processed and some hides were only inked and halve processed
c) The factory is equipped with new and very expensive tannery equipment such as a hydraulic stacking machine and manufacturing machines used for processing of hides in the tannery, which are not utilised.
d) The factory is full of dust indicating that it is not utilised optimally

Members of the Committee expressed their disappointment to the leadership and regional officials; and called upon the accompanying officials of the Ministry of Industrialisation and Trade and National Planning Commission to inform their superiors in Windhoek of the findings and unacceptable situation as a matter of urgency. Furthermore, to address the matter so that the tannery can start operation and to avoid wasteful expenditure.

NPC Code 20067: Construction and completion of MR120 Okatana –Endola-Onunho road to bitumen standard (36km)

The road was completed in 2018 and found to be in an excellent condition, which is commendable. However, the Committee is concerned about the escalation of the initial costs due to delays and other issues such as non-payment of contractors.

NPC Code 18636: Renovation of Ondangwa Government Stores

During the site visit to the Government Store and Government Garage at Ondangwa found it to be in an unsatisfactory state. Although some renovations were done at the Government Garage such as renovation of the offices block, the Committee found that the store room where the GRN's goods, supplies and equipment and machinery are kept, is in a dilapidated condition and in need of urgent renovation and upgrading. Boxes containing valuable supplies are laying all over the place, not properly stored, arranged and shelved compromising on stock control as required by the State Finance Act and Treasury Instructions.

Part of the Government stores building was burned down.

Ablution facilities were renovated in the 2021/2022 financial year but still needs some additional renovation.

Documents dated 1997 are still kept and filed in the store room with no electricity. The Committee was informed that a bill of quantity of approximately N$3 million) requesting for renovations, was submitted to the MWT head office which has thus far, not been attended to by head office.

The condition is unacceptable and requires urgent intervention from the head office of the Ministry of Works and Transport.

Ondangwa Government Garage

Minor renovation was done but the situation is the same as the Government Sores. The entire yard and parking bays are not paved; GRN vehicles damaged through accidents are parked exposed to the adverse weather conditions; files are not properly stored in filing cabinets; vehicle parts such as exhaust are kept in filing room; ceilings are damaged and falling apart due to water leakage because of non-maintenance; outside and inside walls have not been painted for years; roofs have not been maintained for years; the boundary wall poses security risks because it can be easily accessed by people with bad intentions.

NPC Code 2836: Upgrading NATIS Vehicle and Driver Stations

The Ongwediva Vehicle and Driver Testing centre was constructed in 2006 but just too small for this community, the number of vehicles and beneficiaries. The counters are too few; the centre was designed for light vehicles only.

Land is available for the construction of a vehicle and driver station at Ondangwa but there are no funds to start with the project.

7.4. OHANGWENA REGION

7.4.1 Eenhana Capital Project Summary

Institution	Project Name	NPC Code	METF (Project Period)	Update on status of Project
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Garment Factories	18344	2021/22 - 2023/24	Only the paperwork was done for this project earmarked for Ohangwena region.
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	It is an ongoing project. The project covers minor renovations on GRN property such as schools and clinics.
Ministry of Works and Transport **(Vote 24)**	Upgrading of Vehicle and driver Testing Stations	2836	2021/22 - 2023/24	There is no vehicle and Driver Testing stations in Eenhana and the projects was not implemented.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	Eenhana does not have a Meteorological Services facilities. Project was not implemented and has been suspended. This project is now only earmarked for Hosea Kutako and Walvis Bay International Airports.

Ministry of Works and Transport **(Vote 24)**	Construction of gravel road TR10/2 Oupili – Onkumbula (40km)	18253	2021/22 - 2023/24	Procurement process of consultancy services is ongoing; feasibilitystudy including design is still to be conducted; N$3 million is allocated in the 2024/25 MTEF for the project.
Ministry of Works and Transport **(Vote 24)**	Construction of Access Roads to schools and clinics	18779	2021/22 - 2023/24	Forty (40) roads were identified in flood prone areas to be constructed. Design for all the roads have been completed and a total of 8roads were constructed in 2023 and inaugurated.
Ministry of Works and Transport **(Vote 24)**	Construction of gravel road D3622: Omukukutu – Omboloka (25 km)	18782	2021/22 - 2023/24	The construction of the gravel road should have started in August 2024 and the project is expected to be completed within 24 months.
Ministry of Works and Transport **(Vote 24)**	Completion of MR120: Okatana-Endola-Onunho Road (36 km)	20067	2021/22 - 2023/24	The project commenced in 2012 and was supposed to be completed in 2014, however it was only 100% completed on 30 October 2016. The delay was due to non-payment.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. The following activities were carried out, cleaning of rest places along the roads, gravel routine maintenance, repainting of road signs and potholes.

7.4.2 Committee Observations/Findings

The regional leadership informed the Committee that projects from headquarters are moving but needs to be implemented at a faster pace.

The sports complex at Eenhana has been on the cards since 2007 without any progress; ground breaking ceremony of NUST campus was held but no progress thus far; there is a drought in the region and some boreholes are dry; development of the Ohangwena aquifers needs to be fast-tracked by Ministry of Agriculture, Water and Land Reform.
The Committee found that ground breaking ceremony are being held for projects, while there are no available funds for implementation. Officials informed the Committee that according to their observations, the rate of implementation of decentralised projects is faster than the centralised projects and requested that the function of capital projects be decentralised to improve service delivery.

During the State of Regional Address (SORA) and Regional Development Coordinating Committee (RDCC) committee meetings, regional officials are expected to requested information on capital projects from the head offices, however they find it difficult to obtain specific information on development and capital projects. Hence, the need to reorganise and strengthen coordination and consultation among central government, regional government and local government. Central government should consider creating a budget vote for each region as the budget of regional councils are funded from Vote 17: Ministry of Urban and Rural Development.

Only eight (8) access roads were constructed in Ohangwena region despite a flood declared in 2015 requiring almost 40 roads to be constructed. The construction of roads in 6km phases is not advisable and require some review. Ministry of Works and Transport and Roads Authority were urged to consult with the regional leadership when identifying projects for the construction or upgrading of roads in the region.

NPC Code 18344: Construction of garment factories (Ministry of Industrialisation and Trade)

At the time of the committee's visit, only the paperwork was done for this project earmarked for Ohangwena region.

Tuuli Trading Garment Manufacturing is a small enterprise operating in Eenhana from the facility of the MIT and NIDA. Equipment is provided by NIDA but the building is too small.

NPC Code 18253: Construction of gravel road TR10/2 Oupili – Onkumbula (40 km)
At the time of the committee's visit, consultancy service was done and the procurement process commenced.

NPC Code 18779 Construction of access road to schools and clinics (Ohangwena)

Road in the Endola constituency was constructed in 2023.

NPC Code 18782: Construction of gravel road D3622 Omukukutu – Omboloka (25 km) Vote 24; Transport

At the time of the visit, the committee was informed that construction of the road would have started in August 2024 and the project should be completed within 24 months. The delegation had the experience to travel the entire "two-track" sandy road to Omboloka bordering Angola, which is only accessible with off-road 4x4 vehicles. The construction of the road will immensely benefit the communities of Omboloka and surrounding areas especially having access to schools and clinics and other public services.

NPC Code 20186: Maintenance of paved and unpaved roads

This is an ongoing project.

7.5. OSHIKOTO REGION

7.5.1. Omuthiya Capital Project Summary

Institution	Project Name	NPC Code	METF (Project Period)	Update on status of Project
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Sites and Premises Industrial Estates (Tsumeb Industrial Park)	633	2021/22 - 2023/24	The project was completed 100% in January 2024. During the phase 1, 7 units were completed. The remaining 5 units will be completed in phase 2 in the 2024/25 FY. The 7 units are all occupied and the rental fees is from N$1500 to N$ 4110.00 per month.
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Garment Factories	18344	2021/22 - 2023/24	The project was not implemented in Oshikoto.

Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	The project was not carried out. Renovations of Omuthiya office, shade area and interlocks is expected to be done.
Ministry of Works and Transport **(Vote 23)**	Extension, Upgrading and Construction of Regional Offices, Sub-Offices and Workshops Project earmarked for Omuthiya regional office, Oshivelo sub-office, Oniipa sub-office and Tsumeb sub-office.	621	2021/22 - 2023/24	Construction for workshop was done at Omuthiya regional office in August 2023. Nothing done yet at sub-offices. A team from the Ministry of Works and Transport visited Oshivelo in 2020 for feasibility and testing of sand. The plot was taken back by the settlement office/local authority hence this is matter that needs to resolved with the Ministry of Urban and Rural Development. Another land is expected to be allocated.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	The project was not implemented and has been suspended. Project only earmarked for Hosea Kutako and Walvis Bay International Airports.
Ministry of Works and Transport **(Vote 24)**	Labour-Based Construction (DR 3610 TR1/11) Mangetti West Quarantine Camp	5065	2021/22 - 2023/24	The road is 100 % completed. It was constructed in two phases; phase 1, which is 50 km and phase 2, which is 53 km. The original completion date should have been December 2021, however, the project

				was finally completed on 12 June 2022. The final total project cost escalated to N$86.93 million.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance project based on when the need arises. The following activities were carried out, fixing of potholes, cleaning of rest places, blading of gravel roads, road marking. RA commenced with the low volume upgrade of the Engoyi to Omutele road.

7.5.2 Committee Observations/Findings

The Committee was informed by the regional leadership and officials that 87% of Oshikoto region consist of rural areas and the road conditions in the region are very bad. Appointment of the same main contractors (companies) for various regions, is causing delays in implementing the development budget projects and hampering service delivery. A week ago before the Committee's visit on the 26th July 2024, consultations were held with consultants and government officials responsible for the Road Master Plan. There is room for improvement on the side of the Roads Authority.

Officials explained that project timeframe is not adhered to as planned and there is a delay in commencing the projects. Some projects are described as construction of gravel roads whilst the RA representative refers to bitumen standard.

Capital projects are not delegated to regional councils causing serious problems for the regional council. In the past, the Project Identification Form (PIF) of all the projects earmarked for the regions were co-signed by chief regional officers. The practise existed and it was done away with, hence the need to reintroduce it because it was working perfectly. In the past CROs were also attending the August/September October budget hearings with the Ministry of Finance and Public Enterprises (Treasury) and the National Planning Commission; and that practice should be reintroduced.

It was claimed that some NPC officials do not attend RDCC meetings although meetings are conducted once a quarter, hence a plea was made that the quarterly meetings should be optimally maximized and taken seriously by the NPC, chief regional council officers and officials; and ministerial heads of the regions. NPC advised the regional council officials to copy in the Commission when they identify the projects of the region.

NPC Code 20286 Construction of gravel road Onyati-Onyuulaye-Onkumbila road (70 km) *(In the 2023/24 -2025/26 MTEF)*

Busy procuring consultancy services. By July 2025, the construction of the road should start.

NPC Code 20293 Construction of gravel road Omuthiya-Elambo road (49 km)

(In the 2023/24 -2025/26 MTEF)

The project commenced in December 2022 while the tender only closed in April 2024. Delay in the project due to demining activities. Actual work may commence before December 2024.

NPC Code 633: Construction of sites and premises – industrial estates

The purpose of the programme is to promote and facilitate industrialisation in the country in terms of economic activities, manufacturing and value addition as well as construction of industrial parks and common facility centres.

The Omuthiya Industrial Park is fully operational. A water pipe has been leaking for almost 2 years since October 2023 at Omuthiya Industrial Park. NIDA was unable to pay the maintenance fees and maintenance entities refused to fixthe water pipe because NIDA is in arears with them. The Committee expressed their dissatisfaction about the matter.

This project started a long time ago and kept on hold due to budget constraints. In January 2023, the project commenced with phase 2 on twelve units in Tsumeb. Work started on 7 units and the tenants for different sectors were already allocated units. Five (5) units are still outstanding and funds have been allocated. For phase 2 an estimated budget of N$8,924,000.00 was allocated.

During the onsite visit to the Tsumeb Industrial Park, the Committee observed that although phase 2 of the project was partly completed and seven (7) units are occupied with own water meters, the park had no water. Tenants carry water from home and yet, they are required to pay the full amount. NIDA is in arears with its water bill at the Tsumeb Municipality. Therefore, tenants are unable to connect their water meters. The last time NIDA officials visited the park was in December 2023.

During the stakeholder meeting, the regional council official requested NPC to avail resource to finalise the bulk water scheme projects for the regions.

7.6. ZAMBEZI REGION

7.6.1 Katima Mulilo Capital Project Summary

Institution	Project Name	NPC Code	METF (Project Period)	Update on status of Project
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Sites and Premises Industrial Estates	633	2021/22 - 2023/24	The project was not implemented
Ministry of Industrialisation and Trade (**Vote 19)**	Construction of Garment Factories	18344	2021/22 - 2023/24	The project was not implemented
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	From the 8 blocks of Government flats only 2 blocks were renovated in 2021/22 and 2022/23. GRN Flats BM 46/106 and Flat BM 46/105. Although these flats were renovated, during the visit the Committee found sewerage water running. The remaining 6 blocks and garages were not renovated.
Ministry of Works and Transport **(Vote 23)**	Renovation of Government Stores	18635	2021/22 - 2023/24	No renovation has taken place since 2021.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	The project was not implemented and has been suspended.

				Project only earmarked for Hosea Kutako and Walvis Bay International Airports.
Ministry of Works and Transport **(Vote 24)**	Construction of gravel road: Isize - Sifuha - Malindi-Schuckmannsburg (50km)	18226	2021/22 - 2023/24	The road has been completed 100%.
Ministry of Works and Transport **(Vote 24)**	Construction, Rehabilitation and Upgrading of Government Garages Nation-Wide	18551	2021/22 - 2023/24	No renovations have taken place. One of the prefabricated structure is in a dilapidated state and in need of renovation and the workshop floor needs to be repaired.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. The following activities were carried out: Upgrading of Impalila Island access roads, emergency re-gravelling of 4 km district road DR3510 road, emergency light rehabilitation, re-gravelling of D3514, 26 km, Mwambenzi-Zilitene road and D3528, 32 Km road, Lizauli–Munakuve.
Ministry of Works and Transport **(Vote 24)**	Upgrading of Mpacha Airport	20195	2021/22 - 2023/24	The rehabilitation of the runway has been completed 100%

7.6.2 Committee Observations/Findings

- Two GRN Flats BM 46/106 and Flat BM 46/105 were renovated in 2021/22 and 2022/23. Although these flats were renovated, during the visit the Committee found sewerage water running.
- The timeframe to complete project due to non-adequate funding result in projects being vandalised.
- The N$3 million allocations for upgrading of an informal settlement to a settlement is not sufficient. Officials were of the opinion that when an approval of settlement status is given, there should be a defined budget.
- Non allocation of budget by Ministry of Agriculture, Water and Land Reform for green schemes in Zambezi region, although the regions have more than 33 thousand hectaresof land for green schemes
- Kalimbezi Rice project has not been in operation since 2022 due to lack of spare parts for machinery. Spare parts cannot be found in Namibia.
- Ministry of Urban and Rural Development project, Endola Hostel project for the San Community has been completed but there is no no electricity.
- Manyeha Crocodile Farm project that started in 2013 and was not completed and has been abandoned. The farm was earmarked to produce leather shoes and bags that could generate income for the region and country. During the site visit to the farm, Members found some of the remaining building materials and officials fencing off the premises. Some of the structure such as the grass roof for the staff and staff accommodation are being vandalised by the baboons and monkeys.

Officials expressed their disappointment that the regional leadership are called for budget hearings but none of their projects are budgeted, instead projects for the region are planned. Projects that are planned for the region are not implemented but instead implemented in other regions.

7.7. KAVANGO EAST REGION

7.7.1. Rundu Capital Project Summary

Institution	Project Name	NPC Code	METF (Project Period)	Update on status of Project

Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Garment Factories	18344	2021/22 - 2023/24	Project was not implemented.
Ministry of Industrialisation and Trade **(Vote 19)**	Agro Processing Development	18345	2021/22 - 2023/24	Project was not implemented.
Ministry of Industrialisation and Trade **(Vote 19)**	Special Industrialization Programme	18806	2021/22 - 2023/24	Project was not implemented.
Ministry of Works and Transport **(Vote 23)**	Photo-Voltaic and Electrical Installations (**Rundu Urban**)	325	2021/22 - 2023/24	Project was not implemented.
Ministry of Works and Transport **(Vote 23)**	Rehabilitation of Infrastructure and Upgrading of Exist Specialised Installations (Rundu Rural)	1448	2021/22 - 2023/24	Project was not implemented.
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	Renovations being carried out at one block of the Government flats at Tutungeni. Fencing and renovation of the remaining two blocks, the garages and other flats behind the garages will be done at the later stage. Mechanical work and renovation of staff accommodation was done at the Divundu-sub office. An amount of 8 million Namibian dollars was requested for renovations.

Ministry of Works and Transport **(Vote 23)**	Renovation of Government Stores	18635	2021/22 - 2023/24	Project was not implemented.
Ministry of Works and Transport **(Vote 24)**	Construction, Rehabilitation and Upgrading of Government Garages Nation-Wide (Rundu)	18551	2021/22 - 2023/24	The following renovations were done at the Government Garage in 2023: Rehabilitation and painting of the office block wall, small walls were built to prevent storm water from entering the workshop; repainting of shade area, interlocks installed, seven (7) gates for the workshop were installed, ablution facilities were renovated, replacement of roof at the store room for equipment and machinery and painting of the holding workshop.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. The following activities were carried out: Light rehabilitation of TR8/4 road Rundu – Divundu 8km phase 1, 6km phase 2, 78 km phase 3; upgrading of low volume seal DR3402 Unam – Kayengona 11.3 km road; upgrading to bitumen standard Dr Sam Nujoma drive 2.8 km phase 1, 2.4 km phase 2, 2.0 km phase 3 in Rundu; and re-gravelling of D3400, DR 3447 & D3427 Ndonga Linena- Ngcogco 60 km road.
Ministry of Works and Transport **(Vote 24)**	Upgrading of Vehicle and	2836	2021/22 - 2023/24	The activity was not carried out and there is a need to upgrade the stations. The current office space

	Driver Testing Stations			cannot cater the volume of people in the region.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	The project was not implemented and has been suspended.

7.7.2 Committee Observations/Findings

The Committee observed with disappointment that majority of the projects planned for Kavango East region were not implemented. Members found that RDCC is non- functional in the region and could be one of reasons why some projects were not implemented. The Regional Management was tasked to ensure that RDCC is functional and that meetings are conducted as required.

During the site visits, Members found renovations being carried out at one block of the Government flats at Tutungeni. Members were informed that fencing and renovation of the remaining two blocks, the garages and other flats behind the garages will be done at the later stage. An amount of N$8 million was requested for renovations.

7.8. KAVANGO WEST REGION

7.8.1 Nkurenkuru Capital Project Summary

Institution	**Project Name**	**NPC Code**	**METF (Project Period)**	**Update on status of Project**
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Sites and Premises Industrial Estates	633	2021/22 - 2023/24	Construction of the Park was not carried out. Only renovations were done at the old Industrial Park in 2023.
Ministry of Works and Transport **(Vote 23)**	Photo-Voltaic and Electrical Installations **(Mpungu)**	325	2021/22 - 2023/24	The project was not implemented.

Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	No activity was carried out for the period under review.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	Routine maintenance projects based on when the need arises. The following activities were carried out: Re-gravelling of D 3407 road; Zinze-Mpungu vlei 66km; Road betterment work on DR3425; Ncaute-Karukuvisa 30 km road and Road betterment work on DR3446 35 km phase 1 and 50 km phase 2 Charlie Cutline road.
Ministry of Works and Transport **(Vote 24)**	Upgrading of Vehicle and Driver Testing Stations	2836	2021/22 - 2023/24	Erf 2745 in Nkurenkuru, Extension 8, measuring 41,156 at the cost of N$ 3,078,251.00 was reserved by the Nkurenkuru Town Council for the construction of the Vehicle and Driver Testing Stations. The processing of procuring the land is not yet finalised.
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	The project was not implemented and has been suspended.

7.8.2 Committee Observations/Findings

The Committee further expressed their disappointment to the poor attendance of the meeting by the leadership of Kavango West region, stating that, this is not the first time that it is

occurring. Members were of the opinion that this practice is hampering service delivery to the citizens in the regions in terms of development of the region.

During the visit to the Nkurenkuru Industrial park, Members found that the Garment Factory that was built at the Park is still vacant although it was inaugurated in 2022. Machinery that was purchased in 2023 is collecting dust at the facilities. Members were informed that the factory is likely to be occupied only in September 2024.

7.9. OTJOZONDJUPA REGION

7.9.1 Otjiwarongo Capital Project Summary

Institution	Project Name	NPC Code	METF (Project Period)	Update on status of Project
Ministry of Industrialisation and Trade **(Vote 19)**	Construction of Sites and Premises Industrial Estates	633	2021/22 - 2023/24	The project was not implemented in Otjiwarongo.
Ministry of Industrialisation and Trade **(Vote 19)**	Special Industrialization Programme (Biomass project)	18806	2021/22 - 2023/24	The project was not implemented in Okahandja.
Ministry of Works and Transport **(Vote 23)**	Ongoing Renovations and Minor Capital Renovations	320	2021/22 - 2023/24	The following renovations were carried out: GRN houses flats and offices in Otjiwarongo; renovation of Residence in Okakarara BM 78/311 & BM 78/334; and renovation of Naweya in Grootfontein.
Ministry of Works and Transport **(Vote 23)**	Extension, Upgrading and Construction of Regional Offices, Sub-Offices and Workshops	621	2021/22 - 2023/24	The project was to be implemented in two phases. phase 1, the Tsumkwe Sub Office was upgraded and phase 2, fencing which is not yet done.

Ministry of Works and Transport **(Vote 24)**	Railway Network Upgrading	2834	2021/22 - 2023/24	Rehabilitation and maintenance was done on the existing 234 km railway line from Kranzberg to Otjiwarongo.
Ministry of Works and Transport **(Vote 24)**	Upgrading of Vehicle and Driver Testing Stations	2836	2021/22 - 2023/24	A small upgrade on the testing area was done in 2023. Design for revamp and upgrading of the station was done. Waiting for construction to commernce..
Ministry of Works and Transport **(Vote 24)**	Extension and Upgrading of the Meteorological Services Facilities	4197	2021/22 - 2023/24	The project was not implemented and has been suspended.
Ministry of Works and Transport **(Vote 24)**	Rehabilitation of the TR 1/16: Windhoek - Okahandja Road (67km)	18786	2021/22 - 2023/24	The project is ongoing and it's expected to be completed in 2024/25 FY. Contractor is busy with the bridge and the road will be inaugurated this financial year.
Ministry of Works and Transport **(Vote 24)**	Maintenance of paved and unpaved roads	20186	2021/22 - 2023/24	The Committee was informed that their maintenances are done through RFA Funds.

7.9.2. Committee Observations/Findings

Members found that functions such as maintenance under the Ministry of Works and Transport are still centralised, procurement is still done through the head office, thus delaying service delivery.

8. Main findings of the Committee

(a) The oversight visits could be regarded as an exercise of creating awareness at regional level on development budget approved by Parliament as many of the regional leadership and officials were not aware of the capital projects budgeted and approved by Parliament.

(b) Some projects have been implemented satisfactorily while others projects were not implemented. Some completed projects were not operationalized and occupied.

(c) The development budget description of projects namely" nationwide" or nationwide budgeting of projects hamper service delivery and resulting in some regions to lag behind in implementation. The line Ministry decides where to implement projects thus disadvantaging some regions.

(d) Virement or diverting of funds and projects to other projects in other regions, without consulting the management of regional councils and NPC was raised as a matter of concern.

(e) The function of capital project execution is not decentralized. All decision making powers are centralized and officials responsible for capital projects are based in Windhoek thus hampering proper monitoring and management of capital projects and impacting adversely on public service delivery in the regions.

(f) Lack of coordination, proper planning and broader consultation on capital projects with regional officials. Projects are planned and identified by O/M/As; and budgeted in the Development Budget approved by Parliament without the involvement of regional councils and not based on the regional needs.

(g) During implementation stage, OMAs implement projects in isolation without the Regional Councils (RC) as well as regional representatives and also without the involvement of the maintenance department of Ministry of Works and Transport. Projects are only handed over to the Ministry of Works and Transport once completed.

(h) The Ondangwa Northern Tannery which was meant to create business and employment opportunity in the Northern Communal Areas (NCA) has been unoccupied for the past 10 years, although the tannery was extended and upgraded with new machinery. Members were informed that several investors have approached the regional leadership, requesting to lease the tannery, however there seems to be resistance from the line Ministry. Ondangwa Northern Tannery has huge socio-economic potential. If the current unacceptable state of this government owned facility aimed to benefit the community of the area, the region and country, is not attended to and saved as a matter of extreme urgency, it may become a wasteful and fruitless expenditure and 'white elephant.'

(i) Members found that in some regions the vehicle and driver testing facilities were not upgraded and neither constructed. The current facilities in the regions do not allow testing of more than one vehicle at time and the office space cannot cater for the volume of people in the regions.

(j) Members also found that although there is a budget provision under the Ministry of Works and Transport NPC code 20186 for maintenance of paved and unpaved roads, Members were informed by RA officials that the maintenance of roads are funded by RFA.

(k) During budget consultations/budget hearings, only the line Ministry is invited. Chief regional officers and Directors of Planning are not included in the budget consultations/budget hearing team.

(l) Inadequate funding is hampering implementation and finalization of projects in some regions is either left incomplete or not completed within the specified time frame. Some are abandoned due to poor planning or by the main contractors due to lack of funding.

(m) Some projects are being put on hold by OMAs without the consent of the NPC and consultation with the management of regional councils.

(n) Lack of site visits to monitor the implementation of capital projects by OMAs. Some projects are of poor quality and many are abandoned and left as white elephants for many years and no one is held accountable.

(o) The operational administration of the Namibia Industrialisation Development Agency (NIDA) in terms of the management of Industrial Parks in the regions continues to be a concern. Some industrial parks are not occupied. The rental fees of NIDA facilities are considered too high for the local people, e.g. in Opuwo it was not clear how the rental fees of NIDA are calculated. Efforts are being made by the Ministry to intervene by recommending a reduction of the rental fees. The maintenance of some industrial parks is not up to standard.

(p) Lack of collaboration between NPC and the regional authorities especially with regards development projects. Some assigned NPC officials do not attend the RDCC meetings although meetings are conducted once a quarter.

(q) Government Garage functions are not centralized, thus hampering service delivery and only some improvements were made in some garages in the regions. Some regions have no government garages at all.

(r) Slow pace of maintenance of infrastructure in the regions and inadequate funding to improve the Government Stores infrastructure in the regions. The infrastructure are in a dilapidated state and in need of urgent renovation. The Government store in Ondangwa is burnt down.

(s) The Committee found that the appointment of the same main contractors (companies) for different regions is delaying the completion of important capital project needed by communities, thereby hampering service delivery. Officials explained that project timeframes are not adhered to as planned and there is a delay with commencement of the projects.

9. CONCLUSION

The Development Budget is one of the most important tools of national development as it addresses economic growth, provide service and improve the living standards of citizens. It further plays an important role on economic growth hence the need to monitor the implementation of capital projects and where necessary increase budget allocation.

In an effort to continuously develop the country's infrastructure and the need to provide services to the citizens to improve their living standards, there is a need to revise policies that have negative impacts on the implementation of capital projects.

In conclusion, NPC and line Ministries should ensure that adequate funding is allocated for planned projects and implement measures to monitor and evaluate the quality of projects

delivered, ensure that projects are completed in the expected time frame and that projects are not left incomplete and abandoned.

10. RECOMMENDATIONS

The Standing Committee on Economics and Public Administration recommends to the National Assembly for approval and implementation by the responsible O/M/A/s as follows:

(a) Ministry of Industrialisation and Trade, Ministry of Works and Transport and National Planning Commission should make sure that all capital projects budgeted for the MTEF 2021/22 to 2023/24 are fully implemented.

(b) National Planning Commission and Ministry of Finance and Public Enterprises must withdraw the budget description "nationwide" budgeting for capital projects and introduce region specific budgeting and projects for implementation should be clearly defined. NPC and Ministry of Finance and Public Enterprises should find a solution to the concerns raised in this report and report back to the Committee.

(c) Ministry of Finance and Public Enterprises and National Planning Commission should institute strict control measures such as mandatory approval from chief regional officers and NPC must be put in place additional measures to address the issue of virement or diversion of public funds and development projects to other projects and other regions; as well as the transfer of funds from developmental and economic activities to operational activities.

(d) National Planning Commission, Ministry of Finance and Public Enterprises and Ministry of Urban and Rural Development and Ministries with offices in regions should improve the regional structures so that the capital projects function and funds are decentralized. Regional councils and heads of regions should take responsibility for their own capital projects for better coordination, implementation and monitoring.

(e) NPC and Ministry of Finance and Publoic Enterprises should conduct wide consultation during the development budget planning stages, with regional councils and regional offices as well as Ministry of Works and Transport; and all stakeholders involved. Projects must be identified, planned and budgeted according to the needs of the regions.

(f) NPC to ensure that during the implementation stage, projects must be clearly defined and implemented in collaboration with all key stakeholders, especially the chief regional officers, directors of planning in regions, heads of regional offices and Ministry of Works and Transport as the custodian of Government projects.

(g) Ministry of Industrialisation and Trade and NIDA in collaboration with the NPC and Oshana Regional Council including the Office of the Governor, must urgently investigate the situation at Ondangwa Northern Tannery to avoid the facilities and new machinery to be vandalized and damaged. MIT, NIDA and NPC in collaboration with the Office of the Governor: Oshana Region and Oshana Regional Council must urgently find ways and means to have the tannery operational. The oxidation ponds

should be fenced off and utilized by Ondangwa Town Council to avoid being vandalized and to prevent the livestock from accessing the area.

(h) Ministry of Works and Transport in collaboration with the Roads Authority and Road Fund Administration should budget for the upgrading and construction of vehicle driver testing facilities in the regions, to address lack of office space, vehicle and driver testing areas at some facilities. Vehicle and driver testing facilities must be constructed in all regions to bring service closer to the citizens and communities; and to improve service delivery.

(i) Ministry of Works and Transport should clearly define which activities are covered under the budget of NPC code 20186, maintenance of paved and unpaved roads.

(j) Ministry of Finance and Public Enterprises, National Planning Commission and Ministry of Urban and Rural Development must ensure that chief regional officers and directors of planning as well as regional heads are invited to and included in budget consultations/budget hearings.

(k) Ministry of Works and Transport and Ministry of Industrialisation and Trade in collaboration with NPC should ensure that adequate funding is allocated to planned projects so that projects are completed within the expected time frame and to avoid projects from being abandoned due to lack of funding.

(l) NPC must ensure that strict measures such as project execution plan and quarterly progress reports on capital projects are put in place to monitor the progress of implementation of capital projects and ensure that OMAs obtain approval from NPC before projects are put on hold.

(m) Ministry of Works and Transport in collaboration with NPC and the line Ministries must ensure proper assessment of contractors so that good quality projects are constructed and delivered. Furthermore, NPC should avail resources to complete projects that has been abandoned as white elephants for many years. Measures must be put in place to hold officials accountable.

(n) MIT and NIDA must revise/relook at the rental fees of NIDA facilities which are considered too high for the local people such as in Opuwo and other regions MIT and NIDA must implement urgent measures to address the issues of Industrial Parks that have been completed and still vacant due to high rental fees.

(o) NPC should strengthen collaboration with regional authorities with regards capital projects, through availing resources and training on project management, in addition, NPC officials must ensure that assigned officers attend all RDCC meetings for proper guidance and advise.

(p) Ministry of Works and Transport should ensure a fully-fledged decentralization of the Government Garage function to the regional councils and construction of government garages in regions without government garages.

(q) Ministry of Works and Transport in collaboration with Ministry of Finance and Public Enterprises and NPC must allocate development budget funding to speed up the renovation of dilapidated government stores in the regions.

(r) Ministry of Finance and Public Enterprises, National Planning Commission and the line Ministries must put systems and processes in place to ensure that the appointment of the same main contractors (companies) for different projects running concurrently in regions does not hamper service delivery through non-adherence to project timeframes and delay in commencing the projects.

11. SIGNATURE

Hon. Natangue Ithete (Chairperson)	Date: 13/02/2025
Hon. Mathias Mbundu (Deputy Chairperson)	
Hon. Marina Kandumbu	
Hon. Dr. Tobie Aupindi	
Hon. Apius !Auchab	
Hon. Bertha Dinyando	
Hon. Elifas Dingara	
Hon. Maria Elago	
Hon. Reginald Diergaardt	
Hon. Hamunyera Hambyuka	
Hon. Gotthard Kasuto	
Hon. Maria Kamutali	
Hon. Johanna Kandjimi	
Hon. Joseph Kauandenge	
Hon. Sebastiaan Karupu	
Hon. Daniel Kashikola	
Hon. Helaria Mukapuli	
Hon. Jennifer Van Der Heever	
Hon. Fenni Nanyeni	
Hon. Kennedy Shekupakela	
Hon. Nico Smit	
Hon. Yvette Araes	